

1 ENGROSSED HOUSE AMENDMENT
TO
2 ENGROSSED SENATE BILL NO. 1546 By: Pugh of the Senate
3 and
4 Caldwell (Chad) of the
5 House
6
7 [teachers - program - scholarship amounts -
8 effective date - emergency]
9
10
11 AMENDMENT NO. 1. Strike the stricken title, enacting clause, and
12 entire bill and insert:
13 "An Act relating to education; amending 68 O.S. 2021,
14 Section 2357.206, as amended by Section 1, Chapter
15 49, O.S.L. 2022 (68 O.S. Supp. 2025, Section
16 2357.206), which relates to the Oklahoma Equal
17 Opportunity Education Scholarship Act; adding grants
18 for capital improvement projects to the definition of
19 a scholarship-granting organization; expanding the
20 definition of educational improvement grant to
21 include the implementation of the Strong Readers Act
22 and the Oklahoma Math Achievement and Proficiency
23 Act; adding grants for capital improvement projects
24 to the definition of an educational improvement grant
organization; defining capital improvement project;
and including educational improvement grants and
capital improvement projects in the information
required to be submitted to the Oklahoma Tax
Commission.
BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

1 SECTION 1. AMENDATORY 68 O.S. 2021, Section 2357.206, as
2 amended by Section 1, Chapter 49, O.S.L. 2022 (68 O.S. Supp. 2025,
3 Section 2357.206), is amended to read as follows:

4 Section 2357.206. A. This act shall be known and may be cited
5 as the "Oklahoma Equal Opportunity Education Scholarship Act".

6 B. 1. Except as provided in subsection G of this section,
7 after August 26, 2011, there shall be allowed a credit for any
8 taxpayer who makes a contribution to an eligible scholarship-
9 granting organization.

10 The credit shall be equal to fifty percent (50%) of the total
11 amount of contributions made during a taxable year, not to exceed
12 One Thousand Dollars (\$1,000.00) for single individuals, Two
13 Thousand Dollars (\$2,000.00) for married individuals filing jointly,
14 or One Hundred Thousand Dollars (\$100,000.00) for any taxpayer which
15 is a legal business entity including limited and general
16 partnerships, corporations, subchapter S corporations and limited
17 liability companies, plus any suspended credits pursuant to
18 subparagraph d of paragraph 2 of subsection I of this section;
19 provided, if total credits claimed pursuant to this paragraph exceed
20 the cap amount established pursuant to paragraphs 1 and 2 of
21 subsection E of this section, the credit shall be equal to the
22 taxpayer's proportionate share of the cap for the taxable year, as
23 determined pursuant to subsection I of this section.

1 2. For any taxpayer who makes a contribution to an eligible
2 scholarship-granting organization and makes a written commitment to
3 contribute the same amount for an additional year, the credit for
4 the first year and the additional year shall be equal to seventy-
5 five percent (75%) of the total amount of the contribution made
6 during a taxable year, not to exceed the amounts established in
7 paragraph 1 of this subsection for the taxable year in which the
8 credit provided in this subsection is claimed. The taxpayer shall
9 provide evidence of the written commitment to the Oklahoma Tax
10 Commission at the time of filing the refund claim.

11 3. The credits authorized pursuant to the provisions of this
12 subsection shall be allocable to the partners, shareholders,
13 members, or other equity owners of a taxpayer that is authorized to
14 be treated as a partnership for purposes of federal income tax
15 reporting for the taxable year for which the tax credits authorized
16 by this subsection are claimed on the applicable return, together
17 with required schedules, forms or reports of the partners,
18 shareholders, members, or other equity owners of the taxpayer. Tax
19 credits which are allocated to such equity owners shall only be
20 limited in amount for the income tax return of a natural person or
21 persons based upon the limitation of the total credit amount to the
22 entity from which the tax credits have been allocated and shall not
23 be limited to One Thousand Dollars (\$1,000.00) for single
24

1 individuals or limited to Two Thousand Dollars (\$2,000.00) for
2 married persons filing a joint return.

3 4. On or before April 30, 2024, and once every two (2) years
4 thereafter, such scholarship-granting organization and educational
5 improvement grant organization shall electronically submit to the
6 Oklahoma Tax Commission, the Governor, President Pro Tempore of the
7 Senate, the Speaker of the House of Representatives, and the chairs
8 and vice chairs of the education committees of the Senate and House
9 of Representatives an audited financial statement for the
10 organization along with information detailing the benefits,
11 successes, or failures of the program, and make publicly available
12 on its website the financial statement and information submitted
13 pursuant to this paragraph.

14 C. 1. Except as provided in subsection G of this section,
15 after August 26, 2011, there shall be allowed a credit for any
16 taxpayer who makes a contribution to an eligible educational
17 improvement grant organization. Except as otherwise provided by
18 paragraph 2 of this subsection, the credit shall be equal to fifty
19 percent (50%) of the total amount of contributions made during a
20 taxable year, not to exceed One Thousand Dollars (\$1,000.00) for
21 single individuals, Two Thousand Dollars (\$2,000.00) for married
22 individuals filing jointly, or One Hundred Thousand Dollars
23 (\$100,000.00) for any taxpayer which is a legal business entity
24 including limited and general partnerships, corporations, subchapter

1 S corporations and limited liability companies, plus any suspended
2 credits pursuant to subparagraph d of paragraph 2 of subsection I of
3 this section; provided, if total credits claimed pursuant to this
4 paragraph exceed the cap amount established pursuant to paragraphs 3
5 and 4 of subsection E of this section, the credit shall be equal to
6 the taxpayer's proportionate share of the cap for the taxable year,
7 as determined pursuant to subsection I of this section.

8 2. For any taxpayer who makes a contribution to an eligible
9 educational improvement grant organization and makes a written
10 commitment to contribute the same amount for an additional year, the
11 credit for the first year and the additional year shall be equal to
12 seventy-five percent (75%) of the total amount of the contribution
13 made during a taxable year, not to exceed the cap amount established
14 in paragraphs 3 and 4 of subsection E of this section for the
15 taxable year in which the credit provided in this paragraph is
16 claimed; provided, if total credits claimed pursuant to this
17 paragraph exceed the cap established pursuant to paragraphs 3 and 4
18 of subsection E of this section, the credit shall be equal to the
19 taxpayer's proportionate share of the cap for the taxable year, as
20 determined pursuant to subsection I of this section. The taxpayer
21 shall provide evidence of the written commitment to the Oklahoma Tax
22 Commission at the time of filing the refund claim.

23 3. The credits authorized pursuant to the provisions of this
24 subsection shall be allocable to the partners, shareholders,

1 members, or other equity owners of a taxpayer that is authorized to
2 be treated as a partnership for purposes of federal income tax
3 reporting for the taxable year for which the tax credits authorized
4 by this subsection are claimed on the applicable return, together
5 with required schedules, forms, or reports of the partners,
6 shareholders, members, or other equity owners of the taxpayer. Tax
7 credits which are allocated to such equity owners shall only be
8 limited in amount for the income tax return of a natural person or
9 persons based upon the limitation of the total credit amount to the
10 entity from which the tax credits have been allocated and shall not
11 be limited to One Thousand Dollars (\$1,000.00) for single
12 individuals or limited to Two Thousand Dollars (\$2,000.00) for
13 married persons filing a joint return.

14 D. 1. For contributions made on or after January 1, 2022,
15 there shall be allowed a credit for any taxpayer who makes a
16 contribution to an eligible public school foundation or public
17 school district. Except as otherwise provided by paragraph 2 of
18 this subsection, the credit shall be equal to fifty percent (50%) of
19 the total amount of contributions made during a taxable year, not to
20 exceed One Thousand Dollars (\$1,000.00) for single individuals, Two
21 Thousand Dollars (\$2,000.00) for married individuals filing jointly,
22 or One Hundred Thousand Dollars (\$100,000.00) for any taxpayer which
23 is a legal business entity including limited and general
24 partnerships, corporations, subchapter S corporations and limited

1 liability companies; provided, if total credits claimed pursuant to
2 this paragraph exceed the cap amount established pursuant to
3 paragraph 4 of subsection E of this section, the credit shall be
4 equal to the taxpayer's proportionate share of the cap for the
5 taxable year, as determined pursuant to subsection I of this
6 section.

7 2. Except as otherwise provided by paragraph 1 of this
8 subsection, for any taxpayer who makes a contribution to an eligible
9 public school foundation or public school district and makes a
10 written commitment to contribute the same amount for an additional
11 year, the credit for the first year and the additional year shall be
12 equal to seventy-five percent (75%) of the total amount of the
13 contribution made during a taxable year, not to exceed the cap
14 amount established in paragraph 4 of subsection E of this section
15 for the taxable year in which the credit provided in this paragraph
16 is claimed. The taxpayer shall provide evidence of the written
17 commitment to the Oklahoma Tax Commission at the time of filing the
18 refund claim; provided, if total credits claimed pursuant to this
19 paragraph exceed the cap amount established pursuant to paragraph 4
20 of subsection E of this section, the credit shall be equal to the
21 taxpayer's proportionate share of the cap for the taxable year, as
22 determined pursuant to subsection I of this section.

23 3. The credits authorized pursuant to the provisions of this
24 subsection shall be allocable to the partners, shareholders,

1 members, or other equity owners of a taxpayer that is authorized to
2 be treated as a partnership for purposes of federal income tax
3 reporting for the taxable year for which the tax credits authorized
4 by this subsection are claimed on the applicable return, together
5 with required schedules, forms, or reports of the partners,
6 shareholders, members, or other equity owners of the taxpayer. Tax
7 credits which are allocated to such equity owners shall only be
8 limited in amount for the income tax return of a natural person or
9 persons based upon the limitation of the total credit amount to the
10 entity from which the tax credits have been allocated and shall not
11 be limited to One Thousand Dollars (\$1,000.00) for single
12 individuals or limited to Two Thousand Dollars (\$2,000.00) for
13 married persons filing a joint return.

14 4. On or before April 30, 2024, and once every four (4) years
15 thereafter, such eligible public school foundation and public school
16 district shall submit to the Oklahoma Tax Commission, the Governor,
17 President Pro Tempore of the Senate, and the Speaker of the House of
18 Representatives an audited financial statement for the organization
19 along with information detailing the benefits, successes, or
20 failures of the programs.

21 E. Except as otherwise provided pursuant to subsection I of
22 this section:

23 1. The total credits authorized pursuant to subsection B of
24 this section for all taxpayers for tax years 2017 through 2021 shall

1 not exceed Three Million Five Hundred Thousand Dollars
2 (\$3,500,000.00) annually;

3 2. The total credits authorized pursuant to subsection B of
4 this section for all taxpayers for tax years 2022 and subsequent tax
5 years shall not exceed Twenty-five Million Dollars (\$25,000,000.00)
6 annually;

7 3. The total credits authorized pursuant to subsection C of
8 this section for all taxpayers for tax years 2017 through 2021 shall
9 not exceed One Million Five Hundred Thousand Dollars (\$1,500,000.00)
10 annually;

11 4. The total credits authorized pursuant to subsections C and D
12 of this section for all taxpayers for tax year 2022 and subsequent
13 tax years shall not exceed Twenty-five Million Dollars
14 (\$25,000,000.00) annually. In addition to the cap amount prescribed
15 by this paragraph, the credit amount shall also be limited to Two
16 Hundred Thousand Dollars (\$200,000.00) of credits per public school
17 district annually; and

18 5. The cap on total credits provided for in this subsection
19 shall be allocated by the Tax Commission as provided in subsection I
20 of this section.

21 F. For credits claimed for eligible contributions made during
22 tax year 2014 and thereafter, a credit shall not be allowed by the
23 Oklahoma Tax Commission for contributions made to a scholarship-
24 granting organization or an educational improvement grant

1 organization if that organization's percentage of funds actually
2 awarded is less than ninety percent (90%). For purposes of this
3 section, the "percentage of funds actually awarded" shall be
4 determined by dividing the total amount of funds actually awarded as
5 educational scholarships or educational improvement grants over the
6 most recent twenty-four (24) months by the total amount available to
7 award as educational scholarships or educational improvement grants
8 over the most recent twenty-four (24) months.

9 G. Any tax credits which are earned by a taxpayer pursuant to
10 this section during the time period beginning August 26, 2011,
11 through December 31, 2012, may not be claimed for any period prior
12 to the taxable year beginning January 1, 2013. No credits which
13 accrue during the time period beginning August 26, 2011, through
14 December 31, 2012, may be used to file an amended tax return for any
15 taxable year prior to the taxable year beginning January 1, 2013.

16 H. As used in this section:

17 1. "Eligible student" means a child of school age who is
18 lawfully present in the United States and who is a member of a
19 household in which the total annual income during the preceding tax
20 year does not exceed an amount equal to three hundred percent (300%)
21 of the income standard used to qualify for a free or reduced-price
22 school lunch or who, during the immediately preceding school year,
23 attended or, by virtue of the location of such student's place of
24 residence, was eligible to attend a public school in this state

1 which has been identified for school improvement as determined by
2 the State Board of Education pursuant to the requirements of the No
3 Child Left Behind Act of 2001, P.L. No. 107-110. Once a student has
4 received an educational scholarship, as defined in paragraph 3 of
5 this subsection, the student and any siblings who are members of the
6 same household shall remain eligible until they graduate from high
7 school or reach twenty-one (21) years of age, whichever occurs
8 first;

9 2. "Eligible special needs student" means a child who has been
10 provided services under an Individualized Family Service Plan
11 through the SoonerStart program and during transition was evaluated
12 and determined to be eligible for school district services, a child
13 of school age who has attended public school in our state with an
14 individualized education program pursuant to the Individuals With
15 Disabilities Education Act, 20 U.S.C.A., Section 1400 et seq., or a
16 child who has been diagnosed by a clinical professional as having a
17 significant disability that will affect learning and who has been
18 approved by the board of a scholarship-granting organization;

19 3. "Educational scholarships" means:

20 a. scholarships to an eligible student of up to Five
21 Thousand Dollars (\$5,000.00) or eighty percent (80%)
22 of the statewide annual average per-pupil expenditure
23 as determined by the National Center for Education
24 Statistics, U.S. Department of Education, whichever is

- greater, to cover all or part of the tuition, fees,
and transportation costs of a qualified school which
is accredited by the State Board of Education or an
accrediting association approved by the Board pursuant
to Section 3-104 of Title 70 of the Oklahoma Statutes,
- b. scholarships to an eligible student of up to Five
Thousand Dollars (\$5,000.00) or eighty percent (80%)
of the statewide annual average per-pupil expenditure
as determined by the National Center for Education
Statistics, U.S. Department of Education, whichever is
greater, to cover the educational costs of a qualified
school which does not charge tuition, which enrolls
special populations of students, and which is
accredited by the State Board of Education or an
accrediting association approved by the Board pursuant
to Section 3-104 of Title 70 of the Oklahoma Statutes,
or
- c. scholarships to an eligible special needs student of
up to Twenty-five Thousand Dollars (\$25,000.00) to
cover all or part of the tuition, fees, and
transportation costs of a qualified school for
eligible special needs students which is accredited by
the State Board of Education or an accrediting

1 association approved by the Board pursuant to Section
2 3-104 of Title 70 of the Oklahoma Statutes;

3 4. "Low-income eligible student" means an eligible student or
4 eligible special needs student who qualifies for a free or reduced-
5 price lunch;

6 5. "Qualified school" means an early childhood, elementary, or
7 secondary private school in this state including schools which
8 provide special educational programs for three-year-olds or
9 prekindergarten educational programs for four-year-olds, which:

- 10 a. is accredited by the State Board of Education or an
11 accrediting association approved by the Board pursuant
12 to Section 3-104 of Title 70 of the Oklahoma Statutes,
- 13 b. is in compliance with all applicable health and safety
14 laws and codes,
- 15 c. has a stated policy against discrimination in
16 admissions on the basis of race, color, national
17 origin, or disability, and
- 18 d. ensures academic accountability to parents and
19 guardians of students through regular progress
20 reports;

21 6. "Qualified school for eligible special needs students" means
22 an early childhood, elementary, or secondary private school in a
23 county in this state including schools which provide special
24

1 educational programs for three-year-olds or prekindergarten
2 educational programs for four-year-olds;

3 7. "Scholarship-granting organization" means an organization
4 which:

5 a. is a nonprofit entity exempt from taxation pursuant to
6 the provisions of the Internal Revenue Code, 26
7 U.S.C., Section 501(c)(3),

8 b. (1) distributes periodic scholarship payments as
9 checks made out to an eligible student's or
10 eligible special needs student's parent or
11 guardian and mailed to the qualified school where
12 the student is enrolled, or

13 (2) awards grants for capital improvement projects to
14 qualified schools that would increase the
15 instructional capacity of the qualified school,

16 c. spends no more than ten percent (10%) of its annual
17 revenue on expenditures other than educational
18 scholarships as defined in paragraph 3 of this
19 subsection or grants for capital improvement projects
20 as defined in paragraph 16 of this subsection,

21 d. spends each year a portion of its expenditures on
22 educational scholarships for low-income eligible
23 students, as defined in paragraph 4 of this
24 subsection, in an amount equal to or greater than the

percentage of low-income eligible students in the state,

e. ensures that scholarships are portable during the school year and can be used at any qualified school that accepts the eligible student or at any qualified school for special needs students that accepts the eligible special needs student,

f. registers with the Oklahoma Tax Commission as a scholarship-granting organization, and

g. has policies in place to:

(1) carry out criminal background checks on all employees and board members to ensure that no individual is involved with the organization who might reasonably pose a risk to the appropriate use of contributed funds, and

(2) maintain full and accurate records with respect to the receipt of contributions and expenditures of those contributions and supply such records and any other documentation required by the Tax Commission to demonstrate financial accountability;

8. "Annual revenue" means the total amount or value of contributions received by an organization from taxpayers awarded

1 credits during the organization's fiscal year and all amounts earned
2 from interest or investments;

3 9. "Public school" means public schools as defined in Section
4 1-106 of Title 70 of the Oklahoma Statutes;

5 10. "Eligible public school district" means any public school;

6 11. "Early childhood education program" means a special
7 educational program for eligible special needs students who are
8 three (3) years of age or a prekindergarten educational program
9 provided to children who are at least four (4) years of age but not
10 more than five (5) years of age on or before September 1;

11 12. "Innovative educational program" means an advanced academic
12 or academic improvement program that is not part of the regular
13 coursework of a public school but that enhances the curriculum or
14 academic program of the school or provides early childhood education
15 programs to students;

16 13. "Educational improvement grant" means a grant to an
17 eligible public school to implement:

18 a. an innovative educational program for students
19 including the ability for multiple public schools to
20 make an application and be awarded a grant to jointly
21 provide an innovative educational program,

22 b. the provisions of the Strong Readers Act, or

23 c. the provisions of the Oklahoma Math Achievement and
24 Proficiency Act;

1 14. "Educational improvement grant organization" means an
2 organization which:

- 3 a. is a nonprofit entity exempt from taxation pursuant to
4 the provisions of the Internal Revenue Code, 26
5 U.S.C., Section 501(c)(3), and
6 b. contributes at least ninety percent (90%) of its
7 annual receipts as grants to eligible schools for
8 ~~innovative educational programs~~ educational
9 improvement grants as defined in paragraph 13 of this
10 subsection or capital improvement projects as defined
11 in paragraph 16 of this subsection. For purposes of
12 this subparagraph, an educational improvement grant
13 organization contributes its annual cash receipts when
14 it expends or otherwise irrevocably encumbers those
15 funds for expenditure during the then current fiscal
16 year of the organization or during the next succeeding
17 fiscal year of the organization; ~~and~~

18 15. "Eligible public school foundation" means a nonprofit
19 entity formed pursuant to the laws of this state and is exempt from
20 federal income taxation pursuant to either Section 501(c)(3) or
21 Section 509(a) of the Internal Revenue Code of 1986, as amended.
22 Each public school foundation must be approved by the local board of
23 education prior to accepting qualifying donations; and
24

1 16. "Capital improvement project" means any capital improvement
2 project that would increase the instructional capacity of a school.

3 I. Total credits authorized by this section shall be allocated
4 as follows:

5 1. By January 10 of the year immediately following each
6 calendar year, a scholarship-granting organization, an educational
7 improvement grant organization, an eligible public school
8 foundation, or public school district which accepts contributions
9 pursuant to this section shall provide electronically to the Tax
10 Commission information on each contribution accepted during such
11 taxable year. At least once each taxable year, the entity making
12 the report shall notify each contributor that Oklahoma law provides
13 for a total, statewide cap on the amount of income tax credits
14 allowed annually;

15 2. a. If the Tax Commission determines the total combined
16 credits claimed for contributions made to scholarship-
17 granting organizations during the most recently
18 completed calendar year by all taxpayers are in excess
19 of the statewide cap amount provided in paragraphs 1
20 and 2 of subsection E of this section, the Tax
21 Commission shall first allocate any amount of credits
22 not claimed for contributions made to organizations
23 authorized pursuant to subsections C and D of this
24 section, then shall determine the percentage of the

1 contribution which establishes the proportionate share
2 of the credit which may be claimed by any taxpayer so
3 that the total maximum credits authorized by this
4 section are not exceeded.

5 b. If the Tax Commission determines the total combined
6 credits claimed for contributions made to
7 organizations authorized pursuant to subsections C and
8 D of this section during the most recently completed
9 calendar year by all taxpayers are in excess of the
10 statewide cap amount provided in paragraphs 3 and 4 of
11 subsection E of this section, the Tax Commission shall
12 first allocate any amount of credits not claimed for
13 contributions made to scholarship-granting
14 organizations, then shall determine the percentage of
15 the contribution which establishes the proportionate
16 share of the credit which may be claimed by any
17 taxpayer so that the maximum credits authorized by
18 this section are not exceeded.

19 c. If the Tax Commission determines the total combined
20 credits claimed for contributions made to
21 organizations authorized pursuant to subsections C and
22 D of this section during the most recently completed
23 calendar year by all taxpayers are in excess of the
24 per public school district cap pursuant to paragraph 4

1 of subsection E of this section, the Tax Commission
2 shall first allocate any amount of credits not claimed
3 for contributions made to other organizations
4 authorized pursuant to subsections C and D of this
5 section, then shall determine the percentage of the
6 contribution which establishes the proportionate share
7 of the credit which may be claimed by any taxpayer so
8 that the maximum credits authorized by this section
9 are not exceeded.

10 d. Beginning for tax year 2016, credits earned, but not
11 allowed due to the application of statewide caps
12 provided in subsection E of this section will be
13 considered suspended and authorized to be used in the
14 next immediate tax year and applied to the next year's
15 statewide cap; and

16 3. The Tax Commission shall publish the percentage of the
17 contribution which may be claimed as a credit by contributors for
18 the most recently completed calendar year on the Tax Commission
19 website no later than February 15 of each calendar year for
20 contributions made the previous year. Each organization authorized
21 pursuant to subsections B, C, and D of this section shall notify
22 contributors of that amount annually.

23 J. No tax credits authorized by this section shall be used to
24 reduce the tax liability of the taxpayer to less than zero (0).

1 K. Any credits authorized by this section allowed but not used
2 in any tax year may be carried over, in order, to each of the three
3 (3) years following the year of qualification.

4 L. 1. In order to qualify under this section, each
5 organization authorized pursuant to subsections C and D of this
6 section shall submit an application with information to the Oklahoma
7 Tax Commission on a form prescribed by the Tax Commission that:

8 a. enables the Tax Commission to confirm that the
9 organization is a nonprofit entity exempt from
10 taxation pursuant to the provisions of the Internal
11 Revenue Code, 26 U.S.C., Section 501(c)(3) or Section
12 509(a), and

13 b. describes the proposed ~~innovative educational program~~
14 ~~or programs~~ educational improvement grant or grants to
15 be awarded to a qualifying public school and the
16 intended use of the grant or grants or the proposed
17 capital improvement project or projects supported by
18 the organization.

19 2. The Tax Commission shall review and approve or disapprove
20 the application, in consultation with the State Department of
21 Education.

22 3. In order to maintain eligibility under this section, an
23 organization authorized pursuant to subsections C and D of this
24

1 section shall annually report the following information to the Tax
2 Commission and publish on its website by September 1 of each year:

- 3 a. the name of the ~~innovative educational program or~~
4 ~~programs~~ educational improvement grant or grants or
5 the capital improvement project or projects and the
6 total amount of the grant or grants made ~~to those~~
7 ~~programs~~ during the immediately preceding school year,
- 8 b. a description of how each grant was utilized during
9 the immediately preceding school year and a
10 description of any demonstrated or expected ~~innovative~~
11 educational improvements or increase to instructional
12 capacity,
- 13 c. the names of the public school and school districts
14 ~~where innovative educational programs~~ that received
15 grants during the immediately preceding school year
16 and what programs or provisions were implemented with
17 grant funds or where capital improvement projects that
18 received grants during the immediately preceding
19 school year were located and the progress of the
20 projects,
- 21 d. where the organization collects information on a
22 county-by-county basis, and
- 23 e. the total number and total amount of grants made
24 during the immediately preceding school year for

1 ~~innovative educational programs~~ educational
2 improvement or capital improvement projects at public
3 school by each county in which the organization made
4 grants.

5 4. The information required under paragraph 3 of this
6 subsection shall be submitted on a form provided by the Tax
7 Commission. No later than May 1 of each year, the Tax Commission
8 shall annually distribute sample forms together with the forms on
9 which the reports are required to be made to each approved
10 organization.

11 5. The Tax Commission shall not require any other information
12 be provided by an organization, except as expressly authorized in
13 this section.

14 M. 1. Beginning in 2023 for the 2022-2023 academic year, in
15 order to maintain registration, a scholarship-granting organization
16 shall annually report to the Tax Commission by September 1 of each
17 year the following information regarding the educational
18 scholarships and grants for capital improvement projects funded by
19 the organization in the previous academic year:

20 a. the name and address of the scholarship-granting
21 organization,

22 b. the names of the qualifying schools that received
23 funding for educational scholarships, the total amount
24 of funds paid to each qualifying school, and the total

1 number of scholarship recipients enrolled in each
2 qualifying school,

3 c. the total number and total dollar amount of
4 contributions received during the previous academic
5 year,

6 d. the total number and total dollar amount of
7 educational scholarships awarded and funded during the
8 previous academic year,

9 e. the total number, total dollar amount, and percentage
10 of educational scholarships awarded and funded during
11 the previous academic year disaggregated into the
12 following categories:

13 (1) low-income eligible students,

14 (2) students who during the immediately preceding
15 school year attended or who were eligible by
16 virtue of the residence of the student to attend
17 a public school in the state which was identified
18 for school improvement by the State Board of
19 Education,

20 (3) eligible special needs students, and

21 (4) students who were first-time recipients of a
22 scholarship including information about the type
23 of public or private school the student was
24

1 enrolled in during the entire previous academic
2 year,

3 f. the percentage of annual revenue received by the
4 organization from donations which qualify for tax
5 credits pursuant to this section which was not
6 expended on scholarships or grants for capital
7 improvement projects,

8 g. disaggregated data reported under this subsection
9 shall be redacted if reporting would allow for
10 identification of specific children, and shall be
11 reported in accordance with the Student Data
12 Accessibility, Transparency and Accountability Act of
13 2013, division b of subparagraph 2 of subsection C of
14 Section 3-168 of Title 70 of the Oklahoma Statutes,
15 and the Family Educational Rights and Privacy Act of
16 1974 (FERPA), 20 U.S.C., Section 1232g, ~~and~~

17 h. the percentage of the total amount of education
18 scholarship expenditures spent on low-income eligible
19 students,

20 i. the names of the qualified schools awarded grants for
21 capital improvement projects and the total amount of
22 the grants made to those qualified schools during the
23 immediately preceding school year,

- 1 j. a description of each capital improvement project and
2 the increased capacity the project will provide to the
3 qualified school, and
4 k. the total number and total amount of grants awarded
5 during the immediately preceding school year.

6 2. The Tax Commission shall make available on its website:

- 7 a. the information submitted by the scholarship-granting
8 organization pursuant to paragraph 1 of this
9 subsection,
10 b. a list of participating schools, and
11 c. all other application information submitted to the Tax
12 Commission by a scholarship-granting organization,
13 except that information which would violate the
14 privacy of an individual.

15 3. A scholarship-granting organization shall annually submit
16 verification to the Tax Commission that the organization still meets
17 the criteria set forth in paragraph 7 of subsection H of this
18 section.

19 N. Contributions made pursuant to subsections B, C, and D of
20 this section shall not be used by the Legislature to reduce the
21 amount appropriated for the financial support of public schools.

22 O. In consultation with the State Department of Education, the
23 Tax Commission shall promulgate rules necessary to implement the
24 Oklahoma Equal Opportunity Education Scholarship Act. The rules

1 shall include procedures for the registration of a scholarship-
2 granting organization, an educational improvement grant
3 organization, a public school foundation, or public school district
4 for purposes of determining if the organization meets the
5 requirements of the Oklahoma Equal Opportunity Education Scholarship
6 Act or for the revocation of the registration of an organization, if
7 applicable, and for notice as required in subsection I of this
8 section."

9 Passed the House of Representatives the 30th day of April, 2026.

10
11
12 Presiding Officer of the House of
13 Representatives

14 Passed the Senate the ____ day of _____, 2026.

15
16
17 Presiding Officer of the Senate

1 ENGROSSED SENATE
2 BILL NO. 1546

By: Pugh of the Senate

and

Caldwell (Chad) of the
House

[teachers - program - scholarship amounts -
effective date - emergency]

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 2. AMENDATORY 70 O.S. 2021, Section 698.1, as
last amended by Section 1, Chapter 249, O.S.L. 2023 (70 O.S. Supp.
2025, Section 698.1), is amended to read as follows:

Section 698.1. A. The Oklahoma State Regents for Higher
Education shall establish and maintain an incentive scholarship
program and teacher employment incentive program, as funding is
available, to encourage the preparation of public school teachers
for prekindergarten through twelfth grade, including minority
teachers, at all ~~state public higher education~~ institutions of
higher education within The Oklahoma State System of Higher
Education or private higher education institutions accredited
pursuant to Section 4103 of this title and incentivize employment as
public school teachers for prekindergarten through twelfth grade in

1 the state for at least five (5) years, to be known as the ~~Inspired~~
2 ~~to Teach Program~~ New Educators for Excellence in Teaching and
3 Education (NEXT-ED) Program. Prospective teachers planning to
4 pursue an undergraduate teacher education program at an accredited
5 ~~Oklahoma~~ teacher preparation program in this state shall be
6 considered if they graduated from high school, completed high-school
7 level instruction at home, or completed General Educational
8 Development (GED) test requirements; meet the ~~higher education~~
9 admission standards of the institution of higher education; and
10 declare a pre-education major or major in an approved ~~Oklahoma~~
11 teacher preparation degree program in this state leading to a
12 standard teaching certificate.

13 B. To the extent that funds are available, scholarships,
14 renewable for up to three (3) additional years for qualified
15 students meeting satisfactory academic progress standards in
16 completing a teacher preparation degree program leading to a
17 standard teaching certificate, shall be awarded to cover costs of
18 tuition, general enrollment and other fees, ~~other fees~~, books,
19 materials, and services provided by the institution, including room
20 and board, in the following manner:

21 1. ~~One Thousand Dollars (\$1,000.00)~~ Two Thousand Dollars
22 (\$2,000.00) per academic year for up to three (3) academic years for
23 full-time students who have earned ~~less~~ fewer than ninety (90)
24 credit hours; and

1 2. ~~Two Thousand Five Hundred Dollars (\$2,500.00)~~ Five Thousand
2 Dollars (\$5,000.00) for the final academic year for full-time
3 students who have earned ninety (90) or more credit hours.
4 The maximum amount of scholarship funds awarded as provided in this
5 subsection to any qualified student shall not exceed ~~Five Thousand~~
6 ~~Five Hundred Dollars (\$5,500.00)~~ Eleven Thousand Dollars
7 (\$11,000.00).

8 C. As used in this section, "full-time student" means:

9 1. An undergraduate student enrolled in twelve (12) or more
10 semester credits toward teacher education degree requirements;

11 2. An undergraduate student who is a teacher education major
12 who is enrolled in or has completed an internship or student
13 teaching credit hours in order to complete the degree program prior
14 to certification and who has been approved to take ~~less~~ fewer than
15 twelve (12) credit hours; or

16 3. An undergraduate student who is a teacher education major
17 with an approved reasonable accommodation from ~~Student Accessibility~~
18 ~~Services~~ student accessibility services at the institution due to a
19 documented disability and who has been approved to take ~~less~~ fewer
20 than twelve (12) credit hours.

21 D. It is the intent of the ~~Oklahoma~~ Legislature that the
22 Oklahoma State Regents for Higher Education create a committee
23 composed of educators, teacher educators from the participating
24 institutions, and representatives of the public schools in this

1 state and the State Department of Education to provide
2 recommendations to the State Regents to improve effectiveness of the
3 ~~Inspired to Teach Program~~ NEXT-ED Program. The committee shall
4 prepare and electronically deliver a report on the program to the
5 Legislature on or before July 1 of each year.

6 E. Each scholarship participant, prior to entry into the
7 ~~Inspired to Teach Program~~ NEXT-ED Program, shall have agreed to
8 teach in ~~an Oklahoma~~ a public prekindergarten through twelfth grade
9 school in this state for a minimum of five (5) consecutive years
10 upon graduation and licensure as a teacher. Any scholarship
11 participant failing to maintain a 2.5 grade point average throughout
12 matriculation, changing to an ineligible area of study, failing to
13 meet satisfactory academic progress standards, withdrawing or
14 otherwise leaving school, or failing to meet requirements for
15 licensure and certification to teach as established by law shall be
16 subject to disqualification from the program.

17 F. The Oklahoma State Regents for Higher Education are
18 authorized to make employment incentive payments pursuant to the
19 provisions of this section to ~~Inspired to Teach Program~~ NEXT-ED
20 Program participants who are employed as traditionally certified
21 teachers in ~~Oklahoma~~ public prekindergarten through twelfth grade
22 schools in this state following graduation. Incentive payments may
23 be awarded following each consecutive year of satisfactory service
24 as documented by the employing school district, up to five (5) years

1 of service for scholarship recipients as provided in subsection A of
2 this section, upon graduation from an accredited ~~Oklahoma~~ teacher
3 preparation degree program in this state. The maximum amount of
4 employment incentive payments for any qualified participant shall be
5 Four Thousand Dollars (\$4,000.00) per year for up to five (5) years,
6 not to exceed a total of Twenty Thousand Dollars (\$20,000.00) per
7 participant.

8 G. The Oklahoma State Regents for Higher Education shall
9 require the execution of appropriate contracts with eligible
10 ~~Inspired to Teach Program~~ NEXT-ED Program participants.

11 Participants failing to comply with the requirements of this section
12 or failing to provide current contact information shall not be
13 eligible for the employment incentive payments provided for in this
14 section. The Chancellor of the Oklahoma State Regents for Higher
15 Education, with the approval of the State Regents, may contract with
16 any other appropriate organization or unit of government for the
17 administration of the provisions of this section.

18 H. If sufficient funds are not available for employment
19 incentive payments to qualified participants during any fiscal year,
20 the Chancellor may make reductions in the payments made to qualified
21 participants.

22 I. The Oklahoma State Regents for Higher Education may, at the
23 time an award is made on behalf of the ~~Inspired to Teach Program~~
24

1 NEXT-ED Program, set aside funds for the full commitment made to an
2 eligible student.

3 J. The Oklahoma State Regents for Higher Education may utilize
4 ~~Inspired to Teach Program~~ NEXT-ED Program designated funds for
5 administration of the program.

6 SECTION 3. This act shall become effective July 1, 2026.

7 SECTION 4. It being immediately necessary for the preservation
8 of the public peace, health, or safety, an emergency is hereby
9 declared to exist, by reason whereof this act shall take effect and
10 be in full force from and after its passage and approval.

11 Passed the Senate the 10th day of March, 2026.

12

13

Presiding Officer of the Senate

14

15 Passed the House of Representatives the ____ day of _____,
16 2026.

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Presiding Officer of the House
of Representatives

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